

Supplier Nonconformance Policy

POL-SQ-007 | Version 3.0

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Applicable Scope	Supplier-originated material, component, process, and documentation nonconformance

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1. Purpose

This policy establishes severity, containment, notification, escalation, and evidence requirements for supplier nonconformance. It ensures that aggregate supplier performance measures do not conceal significant product, customer, safety, or regulatory risk.

2. Scope

This policy applies to nonconformance detected during incoming inspection, production use, audit, validation, field analysis, or supplier notification when the cause or affected material is attributable to a supplier. It defines required business actions but does not claim that the current knowledge copilot can create, approve, assign, or close CAPA records.

3. Definitions

Severity	Controlled Definition	Typical Example
Minor	Isolated failure with no material effect on fit, form, function, safety, regulatory compliance, or process control.	Cosmetic issue within a non-critical surface zone
Major	Failure with material effect on fit, form, function, reliability, approved process control, or production continuity.	Out-of-tolerance critical interface requiring segregation
Critical	Failure that may create safety, regulatory, counterfeit, data-integrity, or serious customer risk.	Suspected counterfeit part or safety characteristic failure
Repeated Nonconformance	The same or substantially similar failure recurs after notification, containment, or an agreed corrective action.	Recurring dimensional failure in consecutive receipts
Containment	Controlled action that prevents suspected or affected material from unintended use while scope and disposition are determined.	Segregation, stop-ship, sorting, or controlled inspection

4. Roles and Responsibilities

1. Any employee identifying a suspected critical issue immediately protects affected material and notifies Quality Management.
2. Incoming or Manufacturing Quality records the objective evidence, affected quantity, item, lot, supplier, location, and detection point.
3. Supplier Quality confirms severity, issues supplier notification through an approved channel, and tracks required response evidence.
4. Quality Management approves Level 2 and Level 3 escalation decisions and any risk acceptance.
5. Procurement participates when sourcing, capacity, or commercial risk may be affected.

5. Policy Requirements

5.1 Containment

Containment shall begin as soon as credible evidence indicates material may not meet an approved requirement. The initial record shall identify known affected lots and locations, suspected exposure, containment owner, start time, and verification method. Containment is not proof of root cause and is not a substitute for corrective action.

5.2 Supplier Notification

Supplier notification shall identify the nonconforming requirement, objective evidence, affected material, requested containment timing, response due date, and communication owner. Sensitive customer or proprietary information shall be limited to what is authorized and necessary.

5.3 Severity Rules

Condition	Required Minimum Action
Minor nonconformance	Record, disposition, and trend under routine monitoring unless repeated
Major nonconformance	Escalate to Supplier Quality Management and apply at least Level 2 under QP-SQ-012
Critical nonconformance	Immediate containment and immediate Level 3 escalation
Repeated major nonconformance	Management review may be required even when quarterly aggregate Defect Rate remains below 5.00%

Major nonconformances must be escalated to Supplier Quality Management. Critical nonconformances require immediate escalation. These severity rules operate independently from the rate classification in SQM-001.

6. Decision Rules

1. Verify the applicable requirement and collect objective evidence.
2. Protect suspected material and identify known exposure.
3. Assign Minor, Major, or Critical severity using section 3.
4. Apply immediate escalation for Critical severity.
5. Apply the major-deviation override for Major severity regardless of quarterly Defect Rate.
6. Check prior events for repeated nonconformance and ineffective containment.
7. Determine supplier notification, response, corrective action, and management review requirements.
8. Record decision authority, evidence links, due dates, and exit criteria.

Repeated major nonconformance may trigger supplier management review even when the quarterly aggregate Defect Rate remains below 5.00%. A low aggregate rate does not downgrade confirmed Major or Critical severity.

7. Exceptions

Only the Vice President, Quality or documented delegate may approve a temporary exception to notification timing or routine escalation workflow. No exception may suppress a safety or regulatory report, reclassify evidence solely to avoid escalation, waive critical containment, or alter the definitions in this policy without controlled revision.

8. Escalation and Exit

Escalation levels and timing are defined in QP-SQ-012. Exit from escalation requires verified containment, accepted corrective action evidence where required, no unresolved critical exposure, defined monitoring, and approval by the accountable escalation owner. Closing an event does not erase it from trend or repeat analysis.

9. Records and Evidence

The nonconformance record shall include supplier, material, lot, requirement, detection date, severity, affected and contained quantities, evidence references, supplier notification, disposition, containment verification, corrective action status, escalation level, and approvals. Records shall be retained for seven years unless a longer schedule applies.

10. Related Documents

- SQM-001, Supplier Quality Manual - performance classification
- QP-INSP-004, Incoming Inspection Procedure - detection and quantity records
- KPI-SQ-002, Supplier Quality KPI Definitions - aggregate rates and trends
- QP-SQ-012, Quality Escalation Procedure - levels, timing, and governance

11. Revision History

Version	Effective Date	Change Summary	Approver
2.4	2025-06-01	Clarified containment evidence and repeated events.	Vice President, Quality
3.0	2026-01-01	Added explicit Major and Critical escalation overrides and capability boundary.	Vice President, Quality

End of controlled document POL-SQ-007, version 3.0.